The UK Succession Crisis

How many UK businesses are run by owners nearing retirement, where are they, and how many jobs depend on them?

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Summary

This report investigates how many UK businesses are run by owners nearing retirement, where they are, and how many jobs depend on them. Using Companies House data on all 4.76 million active UK private limited companies and their owners' ages, it finds that 316,184 owner-managed businesses (14%) have a lead owner aged 65 or over, with a further 541,000 owners reaching 65 in the next ten years. The problem is greatest in agriculture, manufacturing, the South West and Wales, and among larger firms, 41% of which have a 65+ owner. Around 1.8 million jobs depend on these businesses, so how they are passed on or sold matters for the wider economy.

1. Introduction

Business succession is the transfer of a company's ownership and management from one person to the next. When an owner retires, one of three things usually happens: a successor, such as a family member or manager, takes over; the business is sold to a new owner; or the business closes. Closure is the worst outcome, because the business is lost entirely, and its employees lose their jobs.

This is a growing issue in the UK. Around 316,000 owner-managed businesses are run by a lead owner aged 65 or over, and a further 541,000 owners will reach 65 within the next ten years, as the generation born in the 1960s baby boom approaches retirement. Retirement itself is not the problem; the problem is what happens to the business afterwards. If these businesses close, workers lose their income, towns lose local services and products, and customers lose businesses they have relied on and trusted, often for decades.

I first noticed this while building a buyout screener for UK private companies, where many of the strongest candidates had owners in their seventies and eighties. This report measures the scale of the issue across the whole economy, using Companies House data on every active UK private limited company. It answers three questions:

1. How many owner-managed UK businesses have a lead owner aged 65 or over?
2. Which sectors and regions are most exposed?
3. How many jobs depend on these businesses?

2. Data and method

The data comes from two Companies House datasets. The company register gives each company's industry, location, size and age; the People with Significant Control (PSC) register gives each company's owners, their ownership stake, and their month and year of birth, which allows their age to be calculated.

Starting from 4.76 million active private limited companies, I removed dormant companies, because they are not trading; companies under two years old, because they are not yet facing a succession decision and many close early for other reasons; companies owned by another company, because the decision about their future sits with the parent company rather than a retiring individual; and property-holding companies, because they mostly hold property rather than employ people. This left 2,214,033 owner-managed operating businesses. For each, the

lead owner is the individual with the largest shareholding; where two owners hold equal stakes, the older is used, as they will face retirement first.

To estimate jobs at stake, I took a random sample of 150 companies with a lead owner aged 65+ in each size group and read their employee numbers from their filed accounts. I then multiplied the average number of employees by the number of businesses in that group. Because this is based on a sample, the result is an estimate: the true figure very probably lies between 1.2 and 2.4 million.

The code was written in Python by an AI assistant, Claude. I selected the topic, ran the analysis, tested the results at a different age cut-off, and interpreted the findings with AI support.

3. Findings

3.1 Who owns Britain's small businesses?

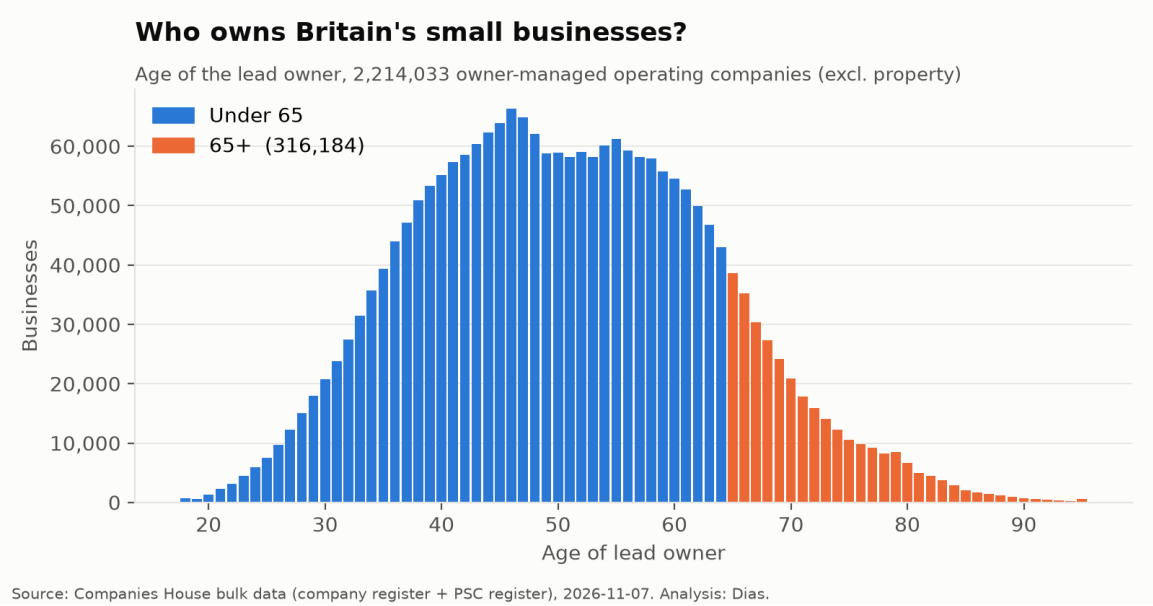


Figure 1: Age of lead owner, owner-managed operating businesses

Most business owners are under 65; the most common age is around 45-48. After about 60 the number of owners falls steadily rather than suddenly, because people retire, sell or pass the business on at different ages, not all at 65. 316,184 businesses are run by a lead owner aged 65 or over, so a large number of firms will need to be passed on, sold or closed in the coming years.

3.2 The retirement wave

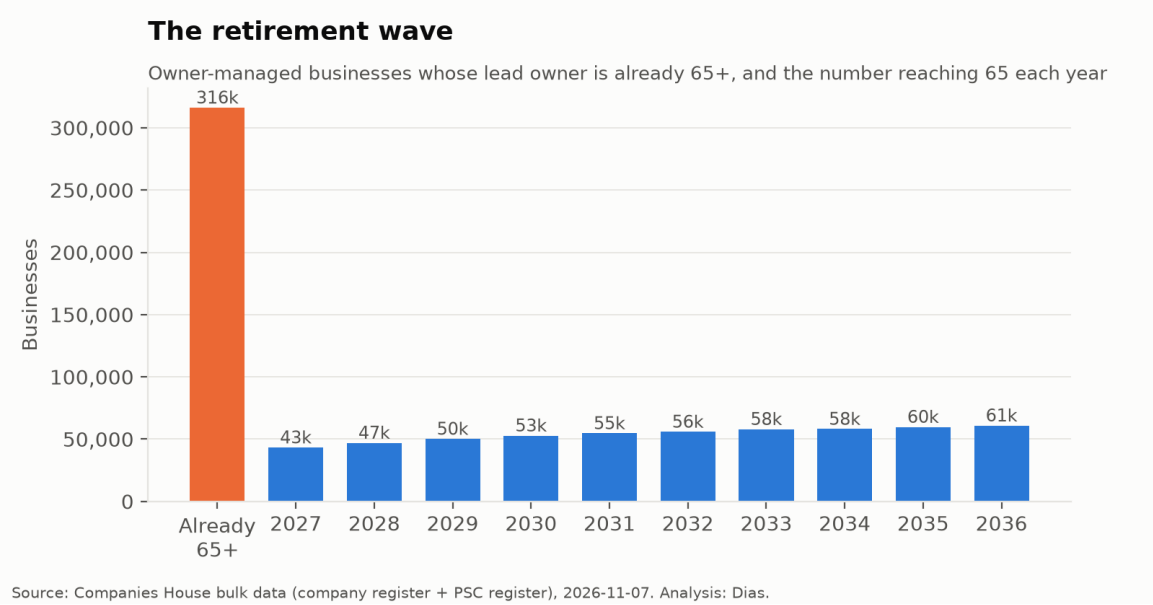


Figure 2: Businesses whose lead owner is already 65+, and the number reaching 65 each year

The number of owners turning 65 rises steadily each year, from about 43,000 in 2027 to about 61,000 in 2036, around 18,000 more. The number rises because the people turning 65 in the 2030s were born in the 1960s baby boom, when UK births peaked, and because company ownership grew a lot from the 2000s. Over the next 10 years about 541,000 more businesses will have owners reaching 65. If they can't find a buyer or successor and close, many jobs could be lost, so it matters whether there are enough buyers to keep them going.

3.3 Which industries are most exposed?

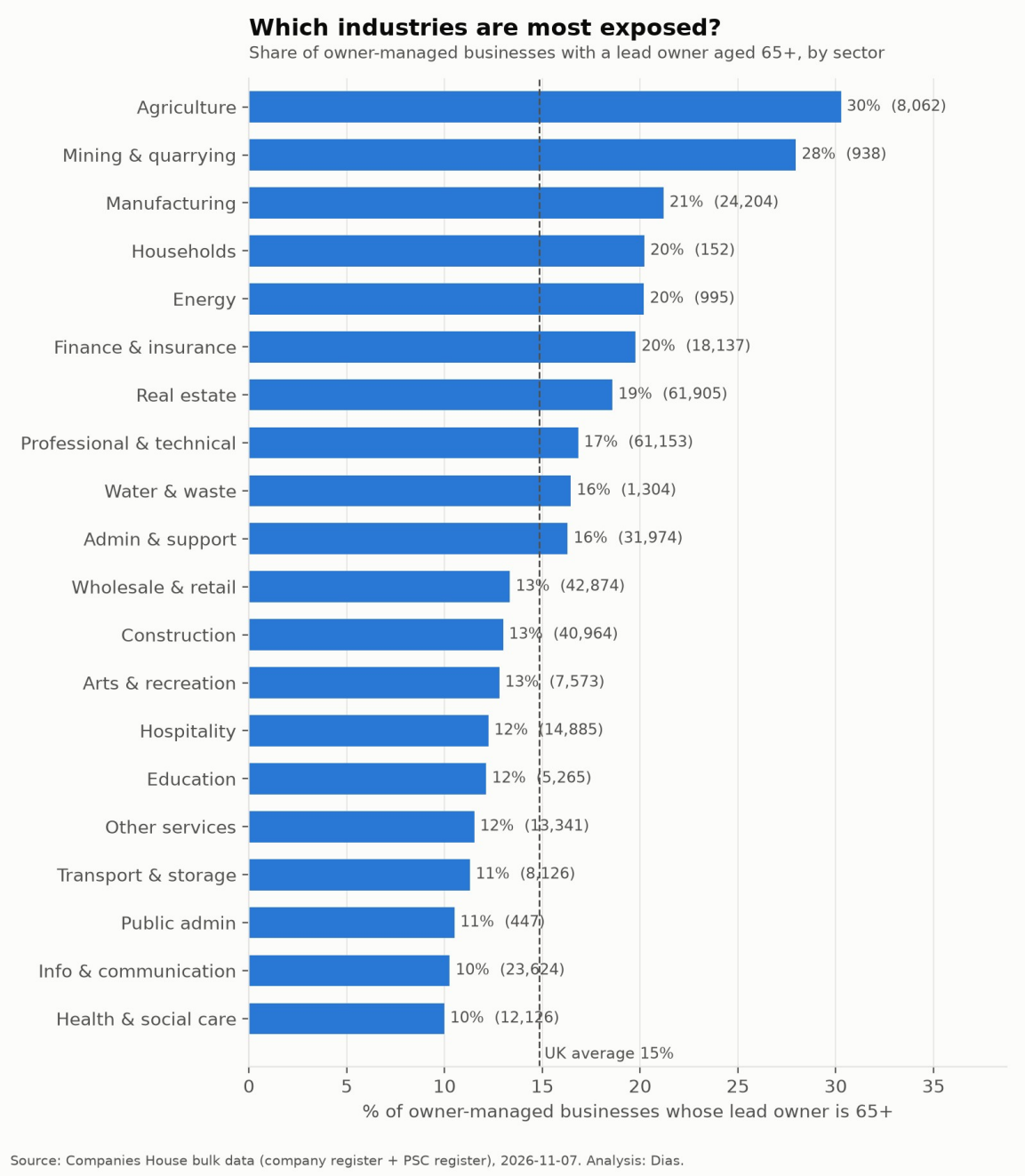


Figure 3: Share of owner-managed businesses with a lead owner aged 65+, by sector

Agriculture is most exposed: 30% of owner-managed farming businesses have a lead owner aged 65+, double the UK average of 15%. Health & social care and info & communication are least exposed, at about 10%. Farming is often a family business passed down through generations, and the high cost of land and machinery makes it hard for young people to start a farm, so owners stay on for longer. Tech and health firms are often newer and set up by younger founders. By number, real estate has the most 65+ owners (61,905), but these are mostly property-holding companies rather than employers, which is why my main figures exclude them. Professional & technical services are almost as large (61,153), and these are operating businesses that employ people, so they matter more for jobs.

3.4 Where is the problem biggest?

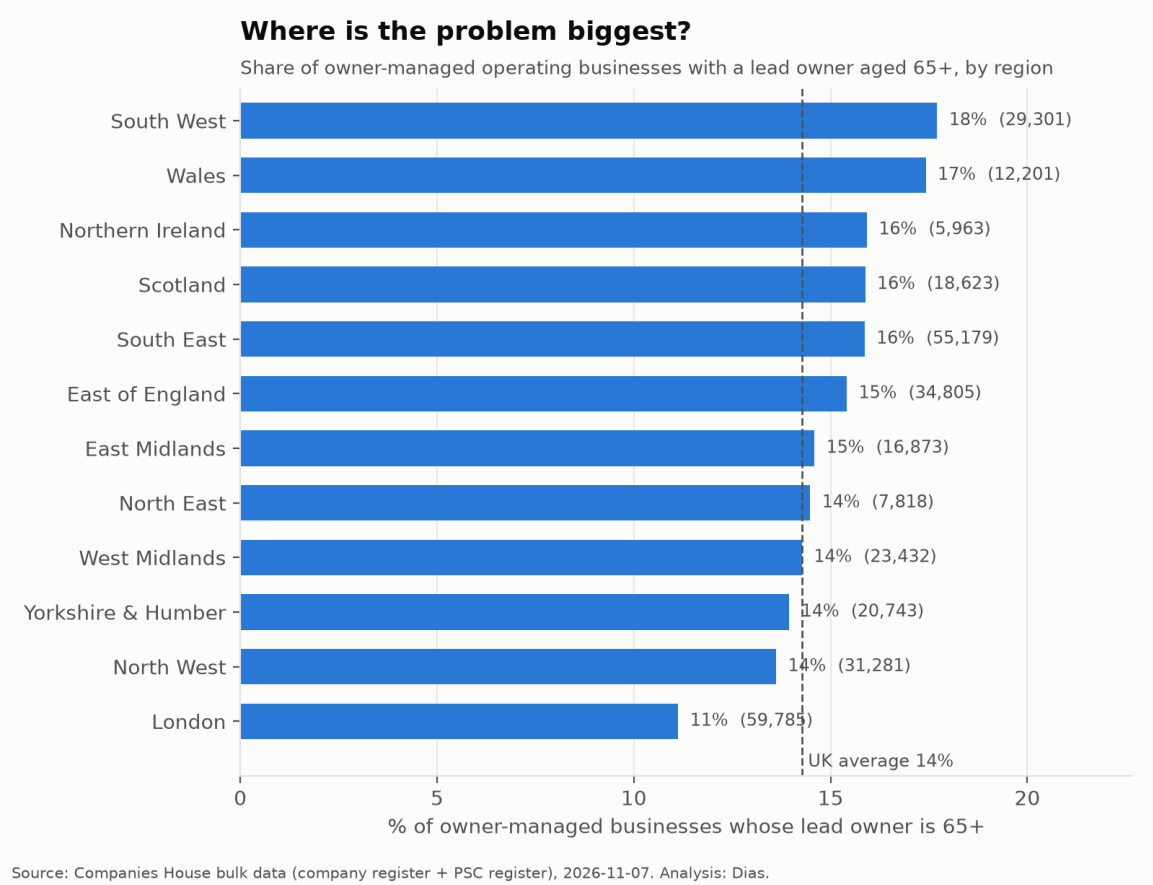


Figure 4: Share of owner-managed operating businesses with a lead owner aged 65+, by region

The South West is the most exposed region, with 18% of owner-managed businesses having a lead owner aged 65+, followed by Wales at 17%. London is the least exposed at 11%. London attracts younger people from the rest of the UK and abroad who move there for opportunities and start businesses, many of them in younger industries like tech and the creative sector. The South West and Wales are largely rural, with many farming businesses, which Figure 3 shows have the oldest owners. They are also popular places for people to retire to, so the local population, and its business owners, are older overall.

3.5 Company size and company age

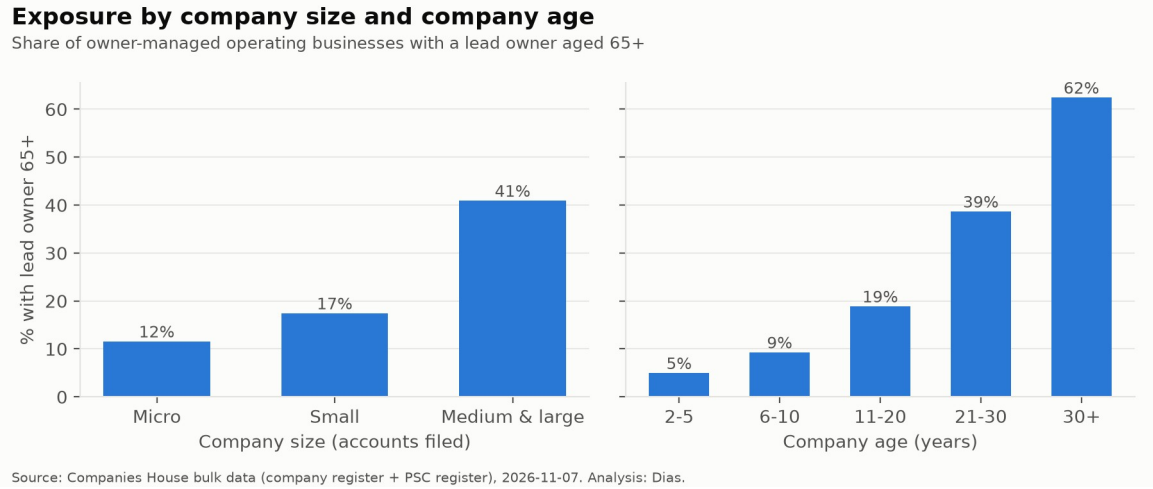


Figure 5: Share with a lead owner aged 65+, by company size and company age

The share of businesses with a lead owner aged 65+ rises as companies get bigger (12% of micro firms, 17% of small and 41% of medium & large) and as they get older (5% of firms aged 2-5 years, rising to 62% of firms over 30 years old). Older companies tend to have older owners because the founder often started the business decades ago and is still running it. The 41% is worrying because medium and large firms employ the most people, so if one closes, many jobs are lost at once. They are also harder to sell, because a buyer needs much more money, so the firms most likely to have a retiring owner are the ones where a successor is hardest to find.

3.6 Jobs at stake

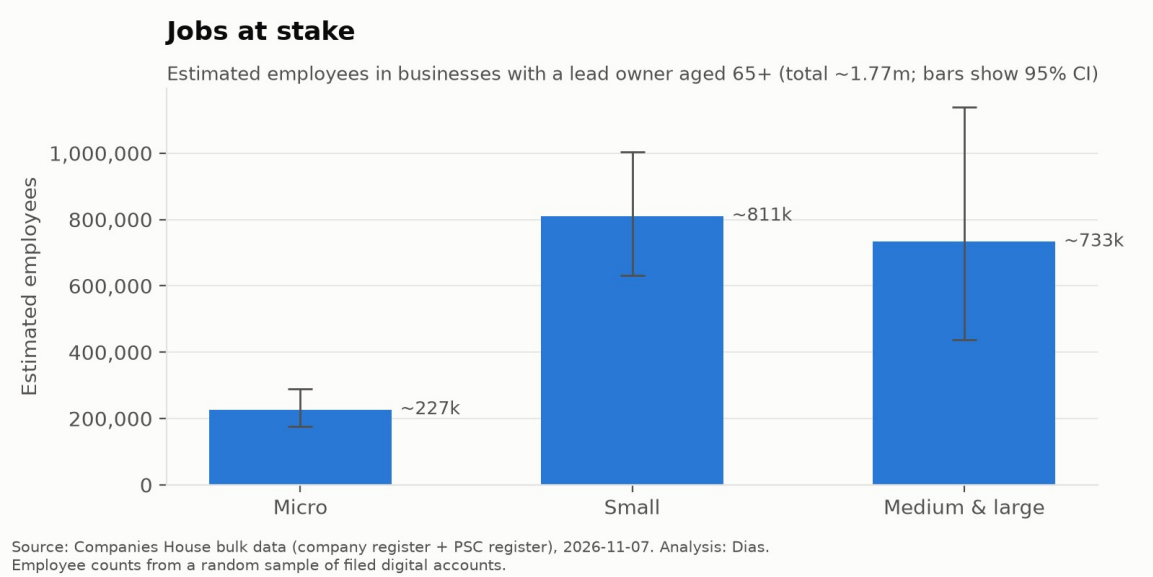


Figure 6: Estimated employees in businesses with a lead owner aged 65+ (95% confidence intervals)

Small businesses employ the most people in total (about 810,000). Medium & large firms are only about 7,700 businesses, but they still employ about 730,000 people, almost as many as all the small firms. The estimate for medium & large firms is the least certain because there are fewer of them, their employee numbers vary a lot, and some sampled firms did not publish their employee numbers. In total, about 1.8 million people work in businesses with a lead owner aged 65+, roughly 5% of the 34.6 million people in employment in the UK (between about 4% and 7% given the margin of error). These jobs are not necessarily lost, but they depend on the businesses being successfully passed on or sold.

3.7 Robustness check: age 70 instead of 65

At 70 the problem roughly halves: 160,502 businesses (7.2%) compared with 316,184 (14.3%) at 65. The regional ranking stays the same at 70 as at 65 - the South West and Wales are still the most exposed and London the least - so my regional finding does not depend on the age cut-off I chose, which makes it robust. I use both: 65 is the headline because it is close to the State Pension age (66, rising to 67), and 70 is a cautious lower bound - even on this stricter measure, 160,000 businesses are affected.

A further finding: 81% of businesses with a lead owner aged 65+ have no outstanding secured debt.

This makes many of them attractive to buyers. In a leveraged buyout, a private equity firm or search fund pays for much of the business with money borrowed from banks, secured against the business itself. If a business already has loans, the bank will want those repaid first, which makes new borrowing harder. A business with no debt is therefore easier to buy, because a new owner can borrow against it more freely.

4. Limitations

There are three main limitations. First, owning a business is not the same as having no plan for it: some owners aged 65+ will already have a family member or manager lined up to take over, so the 316,000 figure measures exposure to the succession problem rather than certain closures, and may overstate it. Second, region is based on each company's registered office, which is sometimes an accountant's address in a large city; this does not change the national total, but it may make London look larger and rural regions such as Wales and the South West smaller than they really are. Third, I excluded all companies owned by another company, which removes some family businesses held through a holding company and so may understate the problem. The first and third limitations push in opposite directions, so they partly offset each other.

5. Conclusion and recommendations

This report finds that 316,184 owner-managed UK businesses (14%) have a lead owner aged 65 or over, with a further 541,000 owners reaching 65 in the next ten years. The problem is greatest in agriculture (30%), mining and manufacturing, and in the South West and Wales, and smallest in London. Around 1.8 million jobs (between 1.2 and 2.4 million) depend on these businesses.

Two responses could reduce the risk of closures. First, investors such as private equity firms and search funds could see this as an opportunity: 81% of these businesses have no secured debt, which makes it easier for a buyer to borrow from banks to fund a purchase. Second, the government could offer incentives, such as tax relief and advice, that make it less risky for employees or managers to buy the business from a retiring owner, targeted at the regions and sectors most exposed.

Future research could track what happens to these businesses over the next few years, whether they are passed on, sold or closed, starting with the most exposed regions such as Wales and the South West.

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